> **"Is it difficult to understand that if you want to create an asset of 60 years, you want to make available long-term finance? There is a need for rethinking these problems"**
>
> **AMIT KAPOOR**
> Joint Managing Partner, Jyoti Sagar Associates

> "This government has changed the IPP situation in India completely to a very positive situation. International investors are coming because it is a country worth investing in"
>
> **HARRY DHAUL**
> Director-General, Independent Power Producers Association of India



INFRASTRUCTURE FINANCING HOW TO GET IT RIGHT

CREATING A PRIVATE SPACE

Experts deliberate on the role of the private sector in India's infrastructure development and the key hurdles that the government needs to ease

to trade debt. We need the government to come up with a strategy where everyone should understand that they can become not only an electricity consumer but also an electricity generator.

ENCOURAGING THE PRIVATE SECTOR

Singh: One of the most important things in India is that 75 per cent of its infrastructure projects are financed by the government, and 15 per cent by urban local bodies. If it's the government that is playing a key role, bankers, especially public sector banks, feel safe because there is a standard guarantee when a government backs a project.

Only about 5 per cent of our infrastructure projects are from the private sector. The initial infrastructure is done by the government, and then there is a trigger and the private sector takes it forward. Local administration and politicians must also play a role in establishing credibility if it's a 75-year project. It is a long, long exercise, and a difficult one, but all stakeholders will have to play a role in it.

HOW TO 'DE-RISK' PROJECTS

Kapoor: Infrastructure in a democratic set-up is, fundamentally, the responsibility of the state. Now you want the private sector to come in, good idea. But you want it to start absorbing policy issues and subsidy burdens, which is not a part of the plan for the sector. Look at the core problem: if you want to create an asset of 60 years, you want to make available long-term finance. There is a need for a rethink in resolving these problems. ■